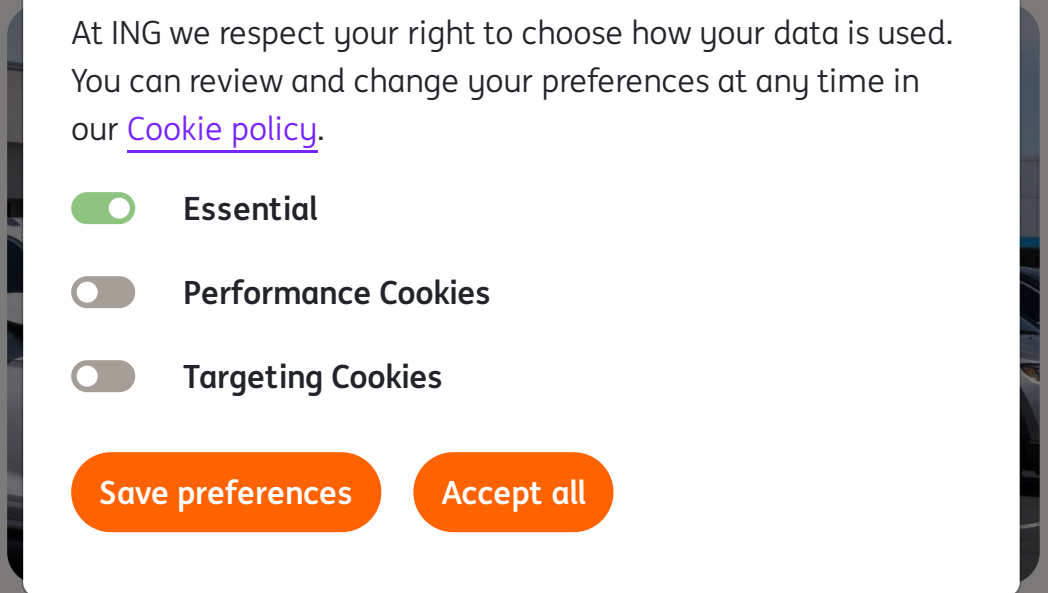
US consumer price inflation came in hotter than expected, with headline CPI rising 0.4% month-on-month and core CPI up 0.3%, both a tenth of a percentage point above expectations. No year-on-year rates were published because the government shutdown meant no price data was collected in October 2025



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Used vehicle prices fell sharply in October

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There was some softness in the details of today's US CPI report, with new vehicle prices rising just 0.2% month-on-month and used vehicle prices falling 1.2%. But other components were hotter: medical care commodities rose 0.5%, transportation services jumped 0.8%, while shelter, the largest component of the CPI basket, increased 0.3%. Overall, headline CPI rose 0.4% and core 0.3%, both 0.1ppt above consensus.

Following on from Fed Governor Chris Waller's comments earlier today that he backs a 25bp hike in December and could even opt for a 50bp hike, Treasury yields have pushed higher, with the 10Y

and 2Y up 6bp and 13bp, respectively. Markets are now fully pricing in a 25bp hike at the December Fed meeting, in line with our own forecast, versus 20bp from before Waller's comments.

Nonetheless, hopes of a Middle East de-escalation are pulling energy costs lower, with retail gasoline prices now below $4/gallon for the first time since mid-July. If that continues, it should provide a meaningful drag on November headline inflation, but we won't get that data until the day after the December FOMC meeting.

The Fed may get a sneak peek of that data, giving it the confidence to only raise rates by 25bp. We are not forecasting any further hikes in 2027 as interest rate-sensitive sectors cool further, with housing costs and lower energy prices amid weak wage growth dampening p

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Source: Macrobond

US CPI inflation

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